

HOW TO USE HYBRID FUNDS

1. CORE AND SATELLITE APPROACH

INVEST IN HYBRID FUNDS (MULTI-ASSET/EQUITY SUITABLE WITH 40-60% OF THE PORTFOLIO AND THE REST IN EQUITIES IF YOU ARE AGGRESSIVE)

2. FOR STABLE EARNERS

EMERGENCY CAN BE IN BAF/DAAF OR HYBRID BALANCED FUND. AND THE LONG-TERM EQUITY PORTFOLIO CAN BE IN EQUITIES



3. FIVE BUCKETS OF INVESTMENT

A. DEBT OR HYBRIDS (ARBITRAGE OR EQUITY SAVINGS FUND) IF THE REQUIREMENT IS WITHIN 3 YEARS BUT MORE THAN ONE YEAR

B. HYBRIDS (MULTI ASSET OR BAF/DAAF) FOR INVESTMENTS WITHOUT A TIMELINE BUT NOT REQUIRED IN THE NEXT THREE YEARS

C. ANY INVESTMENTS REQUIRED AFTER FIVE YEARS IN EQUITIES (PREFERABLY LARGE AND MIDCAP)

D. ANY INVESTMENTS REQUIRED AFTER 10 YEARS OR MORE IS SPREAD BETWEEN MULTI-CAP AND SMALL-CAP

E. FOR EMERGENCY, LIQUID OR ARBITRAGE (BETWEEN 3 MONTHS AND ONE YEAR OF INVESTMENT PERIOD)

ample, may hold large equity allocations early, exposing older investors to volatility.

HANDHOLDING INVESTORS

For all their appeal, hybrids aren't DIY (do it yourself) investments. "Every category has its importance, and hybrid too has its place," says Sharad Tandon, Founder of Invest at Ease. "For retail investors with stable income and moderate risk appetite who can stay invested for more than 12 months up to two years, we usually recommend the balanced advantage category. It gives a smoother experience. For those who can take higher risk, aggressive hybrids fit better." Tandon says portfolios must be customised. "A portfolio isn't a random mix of products. It's a blend tailored to risk, horizon, and circumstances."

Offering a practical asset allocation framework for retail investors, Haria adds, "In our view, retail investors can consider keeping 40-60% of their portfolio in

hybrid funds as a foundation. Over that base, they can build exposure to other categories. Within hybrids, those looking for short-term parking options may prefer arbitrage or equity savings funds; long-term investors with a conservative tilt can consider balanced advantage funds; and those with a moderate risk appetite may opt for a mix of multi-asset and aggressive hybrid funds."

Sebi continues to tweak rules to ensure investors are protected and yet not suffocated. Its draft guidelines issued this year, for instance, even allow limited exposure to real estate investment trusts and infrastructure investment trust. A newer variant, 'income with arbitrage fund of funds', is now being marketed for short-term investors, combining debt funds and arbitrage in a FoF structure. "Hybrids are evolving, and so must investor understanding," says Shah of Sky PI.

In the end, hybrid investing isn't just about balancing growth with safety but balancing trust with understanding. **BT**